Selling Exhausts

De-leveraging slows but Fear & Greed hits 11 as Iran strikes Qatar LNG and oil cargo prices smash records.

MARKETS

SELLING DECELERATES BUT FEAR HITS 2026 EXTREMES. S&P; –0.25% to 6,598 (SPY $659.80). Dow –0.42%. Nasdaq –0.32%. Russell +0.65%—the first green small-cap close in eight sessions. UVXY fell –4.02% to $48.98, retreating from Wednesday's spike. Fear & Greed collapsed to 11—the lowest reading of the year and deep Extreme Fear. The pace of selling is slowing, but we're firmly below the 200DMA for a second consecutive close.

Gold crashed –4.12% to $426 (GLD). Silver –4.40%. That's a two-day precious metals drawdown of over 7% during an active shooting war—textbook forced liquidation. AEM –5.77%, GFI –4.72%. The dollar is weakening simultaneously, which should be gold-positive. It isn't, because leveraged positions must be unwound regardless of thesis. When correlations go to one, the only trade is survival.

Brent futures fell –1.96% and WTI –3.54%—the first meaningful pullback in a week. But Reuters reports physical oil and fuel cargo prices smashed all-time records as Iran chokes Middle East supply. The divergence between paper futures (de-leveraging) and physical delivery premiums (screaming higher) is the critical tell. US pump prices up 30% since the war began, headed toward $4/gallon. Morgan Stanley pushed rate cut expectations to September and December. The market is repricing for a prolonged energy shock. VLO +1.51%, CVX +1.42%, OKE +2.55%.

Semis provided relative lift: LRCX surged +4.13% to $234—now +11.3% in four sessions since GTC. AMD +2.91% cleared $205 on the Samsung AI partnership. KEYS +2.14%. FedEx beat after the close: $5.25 vs. $4.16 est., a 26% surprise. BABA missed badly: $6.96 vs. $11.88 est.—China's macro read worsened. TLT bounced +0.62% as bonds found a bid for the first time in four sessions.

IOWN Tactical: Fear & Greed at 11. Gold down 7.2% in two days during a war. Paper oil falling while physical cargoes hit records. This is the final stage of de-leveraging—when everything sells regardless of fundamentals. S&P; at 6,598, our –20% trigger at ~5,600 is still 15% away. Avoid Erosion—let the forced sellers finish before stepping in.

GEOPOLITICS

DAY 21 — IRAN ATTACKS QATAR LNG, NETANYAHU DECLARES POST-WAR ENERGY VISION. The war now targets the world's largest LNG exporter. Iran struck Qatari LNG infrastructure—Cheniere and Venture Global shares surged. Israel launched more attacks on Iran overnight. Netanyahu publicly stated he wants oil and gas to flow through Israel post-war, an explicit declaration that the end state isn't status quo restoration but permanent redrawing of Middle East energy routes.

Trump's $200B Pentagon budget request faces "stiff opposition" in Congress. A Reuters/Ipsos poll shows Americans expect ground troops but don't support it. The domestic political constraint is tightening as the military campaign expands. US crude is now routing to Asia via the Panama Canal. The EU is eyeing energy tax cuts and subsidies. India's rupee breached 93 per dollar, a record low. European chip buyers are paying more and tapping backup stores as air freight costs spike.

Netanyahu's post-war energy corridor vision is the strategic signal to watch. If Israel's war aims include capturing a permanent role in global energy transit, it means sustained conflict to make the Hormuz route unviable long enough to force permanent rerouting. MATX +1.33%, OKE +2.55%, and the broader US energy logistics chain benefit from a world where Gulf transit risk is permanently elevated. Every week this conflict continues, the infrastructure changes deepen. Physical world matters.

ON OUR RADAR

1. Fear & Greed at 11 is a contrarian signal—but not yet actionable. Cramer says "hold your nose and buy" based on oversold oscillators. The 2022 low hit Fear & Greed 6 before reversing. We're at 11. Forced-liquidation mechanics (gold, crypto, equities selling together) suggest the mechanical selling isn't done. Our discipline: wait for the –20% trigger at ~5,600 or a clear technical reversal above the 200DMA at ~6,608. Don't let sentiment indicators override price levels.

2. Paper vs. physical oil divergence is the most important signal in markets. Brent futures fell –1.96% but physical cargo prices set all-time highs. Financial players are de-leveraging while real-world supply is genuinely constrained. When the de-leveraging ends, futures re-converge with physical—violently upward. VLO, CVX, and OKE are positioned. The 30% pump price increase flows directly to refiner margins. Research Reveals Opportunities.

3. FDX beat is a positive logistics signal; BABA miss clouds China. FedEx $5.25 vs. $4.16 est.—a 26% beat. Global parcel demand holds despite rerouting costs. BABA $6.96 vs. $11.88 est. is

a disaster. PDD –3.27% in sympathy. FINV –4.93%. ATAT +4.11% is the exception—domestic travel resilience diverging from e-commerce weakness.

4. LRCX is the GTC trade that keeps working. +4.13% Thursday, +11.3% in four sessions. Broke through its 50-day and 100-day, now testing the February consolidation zone at $235. AMD confirmed the Samsung AI partnership at $205. If LRCX holds $230 on any pullback, the technical structure flips bullish. Think Like an Owner.

5. Gold miners approaching generational entry if forced selling exhausts. AEM dropped from $208 to $185 in a week—11% during a war that should be gold-positive. GFI from $46 to $41. Selling is mechanical (margin calls, CTA liquidation), not fundamental. AEM's $178–$180 December support is the line. We're $5 above it. When forced selling stops, these snap back hardest.

6. Morgan Stanley pushing cuts to September changes the rate calculus. The market entered March pricing two cuts in 2026. Now MS sees September at earliest. $110+ Brent reprices inflation expectations. TLT bounced +0.62% but the direction is fewer cuts, longer. ADP +1.14% and NEE +1.59% outperformed—quality yield with pricing power is the right posture when rates stay higher for longer. Simplicity Over Complexity.

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